

DANGERS OF QUANTITATIVE EASING

QE is a new strategy and its effects are hard to measure. There is still disagreement about whether it can stimulate the economy without taking too many risks.



The economy may not respond as expected even to very large amounts of new money being created.



Inflation may occur due to increased money supply, but it is unlikely to lead to hyperinflation.



Banks don't always pass on the money to businesses in need, but hoard it or invest it elsewhere.



CASE STUDY

UK

The UK began a QE program in early 2009, after interest rates were cut to almost zero. Most of the new money has been used to purchase government debt. The effects of QE depend on what sellers do with the money they receive from selling assets, and what banks do with the additional liquidity they obtain. The Bank of England believes QE has boosted growth, but at the cost of higher inflation and increasing inequality of wealth, as prices rise.

\$3.5 trillion
spent on QE purchases by the US government

